CFA Level I Mock Exam 8.2 - Questions

Choose one answer for each question.

Question 1

An analyst gathers the following information about three companies and their common shares:

	Company 1	Company 2	Company 3
Market price per share	$34	$12	$56
Book value of shareholders' equity (in millions)	$452	$302	$98
Number of shares outstanding (in millions)	45	105	12

Which company has the lowest price-to-book value per share?

A. Company 1

B. Company 2

C. Company 3

Question 2

Which of the following is an example of an event-driven hedge fund strategy?

A. Buying the stock of a company that is spinning off a subsidiary

B. Selling stock options to earn premiums and benefit from limited market movements

C. Taking long positions in undervalued stocks and short positions in overvalued stocks

Question 3

Contracts entered into at one point in time that require both parties to engage in a transaction at a later point in time on terms agreed upon at the start are called:

A. options contracts.

B. contingent claims.

C. forward commitments.

Question 4

A portfolio manager creates the following two-security portfolios:

Security	Security Weight	Expected Standard Deviation
A	30%	30%
B	70%	25%

If the correlation of returns between the two securities is 0.60, the expected standard deviation of the portfolio is closest to:

A. 16.8%.

B. 24.0%.

C. 26.5%.

Question 5

With respect to an IPS, which of the following best describes a relative risk objective for the client's portfolio?

A. An annual tracking risk of less than 2 percent

B. A 12-month 95% value at risk less than €1,000,000

C. Maintaining at least €10,000 in cash for planned monthly withdrawals

Question 6

A mutual fund that does not have a sales charge to purchase or redeem shares in the fund is best described as a(n):

A. exchange-traded fund.

B. open-end fund.

C. no-load fund.

Question 7

Using the following information and assuming coupons are paid annually, the G-spread of the Steel Co. bond is closest to:

Bond	Maturity	Coupon	Price
Steel Co.	2 Years	5.00%	101.70
Treasury bond	2 Years	4.00%	100.50

A. 36 bps.

B. 94 bps.

C. 100 bps.

Question 8

Which of the following statements regarding forward contracts is most accurate?

A. The value of a short forward contract is the spot price minus the forward price at expiration

B. The value of a long forward contract increases as the spot price of the underlying increases

C. The forward price is the spot price compounded at the risk premium over the life of the contract

Question 9

Which of the following features of an established hedge fund is most likely designed to allow orderly liquidation of positions to meet redemptions?

A. Notice period

B. Lockup period

C. Redemption fee

Question 10

The type of index weighting system in which a stock split on one constituent security changes the weights on all the securities in the index is:

A. price weighting.

B. equal weighting.

C. value weighting.

Question 11

For European options, all else being equal, a higher exercise price results in a higher value for:

A. puts only.

B. calls only.

C. both puts and calls.

Question 12

All else being equal, which of the following factors is most likely associated with a narrowing corporate bond yield spread?

A. An economic slowdown

B. A negative earnings release by the issuer

C. Greater market demand for bonds relative to supply

Question 13

Which of the following is least likely one of the main benefits of derivative markets? Derivative markets:

A. reveal prices and volatility of the underlying assets.

B. exhibit lower volatility compared with the spot market.

C. enable companies to more easily practice risk management.

Question 14

Which of the following statements regarding indexes for alternative investments is most accurate?

A. Hedge funds determine whether their results will be included in an index.

B. Commodity index returns are based on changes in the prices of the underlying commodities

C. Commodity indexes consist of a market-weighted basket of one or more specific commodities

Question 15

Privately held convertible debt is most likely used by companies in which of the following life cycle stages?

A. Seed

B. Growth

C. Maturity

Question 16

With respect to risk-adjusted return measures, the information ratio is calculated as Jensen's alpha divided by a security's:

A. total variance.

B. systematic variance.

C. nonsystematic variance.

Question 17

Which of the following derivative contracts has a hard commodity underlying?

A. Cattle futures

B. Soybean futures

C. Aluminum futures

Question 18

Which of the following is an exclusive feature of private equity funds as opposed to hedge funds?

A. Hurdle rates

B. Performance fees

C. Management fees based on committed capital

Question 19

An investor evaluating a company's common stock has gathered the following information:

Current dividend per share	$2.40
Dividend growth rate expected during Years 1 to 2	20%
Dividend growth rate expected from Year 3 onward	4%
Company's WACC	13%
Required rate of return on equity	15%

The intrinsic value per share of this common stock is closest to:

A. $24.86.

B. $26.59.

C. $29.82.

Question 20

For parallel shifts in the benchmark yield curve, key rate durations indicate the same interest rate sensitivity as:

A. effective duration.

B. modified duration.

C. Macaulay duration.

Question 21

Adding alternative investments to a portfolio of traditional investments most likely increases portfolio:

A. liquidity.

B. transparency.

C. diversification.

Question 22

The binomial option pricing model always:

A. requires knowledge of the magnitude of possible up and down moves.

B. requires knowledge of the actual probabilities of possible up and down moves.

C. enables the construction of a risk-free hedge consisting of one unit of each of the option and the underlying.

Question 23

A mortgage pass-through security most likely has:

A. stable cash flows.

B. an uncertain average life.

C. greater cash flows than the underlying pool of mortgages.

Question 24

The price value of a bp for a 30-year, 1% annual coupon payment bond with a par value of €1,000 and a yield to maturity of 0.8% is closest to:

A. €2.58.

B. €2.74.

C. €3.00.

Question 25

Based on put-call parity, a fiduciary call can be created by combining:

A. a long call and a long risk-free zero-coupon bond.

B. a short put and a long risk-free zero-coupon bond.

C. a long call and a short risk-free zero-coupon bond.

Question 26

The Gordon growth model assumes that the dividend growth rate is:

A. less than the required rate of return.

B. equal to the required rate of return.

C. greater than the required rate of return.

Question 27

When calculating portfolio duration as the weighted average duration of individual bonds, an analyst implicitly assumes that the yield curve:

A. flattens.

B. experiences a parallel shift.

C. steepens.

Question 28

If interest rates are increasing, the effective duration of a bond with an embedded put option is:

A. less than the effective duration of an option-free bond.

B. the same as the effective duration of an option-free bond.

C. greater than the effective duration of an option-free bond.

Question 29

Which of the following embedded options most likely provides a right to the issuer of a bond?

A. Put feature

B. Call feature

C. Conversion provision

Question 30

According to portfolio theory, combinations of the risk-free asset and a risky asset result in:

A. a capital allocation line.

B. the Markowitz efficient frontier.

C. an investor’s indifference curve.

Question 31

If the annual market discount rate is 6%, the value of a 3-year bond that has a 7% coupon rate, has a maturity (par) value of $1,000, and pays interest annually is closest to:

A. $973.76.

B. $1,026.73.

C. $1,049.17.

Question 32

Which of the following is an underlying assumption of yield to maturity as a measure of expected return for a bond?

A. The credit quality of the issuer remains the same

B. The bond is sold at the same price as the purchase price

C. Coupons are reinvested at the same rate as the yield to maturity at purchase

Question 33

Which of the following measures is an example of a top-down driver for forecasting a firm's revenue?

A. Same-store sales growth

B. Growth relative to GDP growth

C. Volumes and average selling prices

Question 34

Which of the following attributes is least likely to be a requirement for the existence of riskless arbitrage? The underlying security:

A. is relatively liquid.

B. can be sold short.

C. is a financial asset.

Question 35

Returns adjusted for the total risk of a portfolio relative to a benchmark are most appropriately measured using which of the following? 2

A. M

B. Treynor ratio

C. Jensen's alpha

Question 36

A bond is currently selling for 102.31. A valuation model estimates the price will fall to 101.12 if interest rates increase by 20 bps and rise to 103.74 if interest rates decrease by 20 bps. Using these estimates, the effective duration of the bond is closest to:

A. 6.31.

B. 6.40.

C. 6.48.

Question 37

Which of the following cognitive errors is best classified as a processing error?

A. Confirmation bias

B. Illusion of control bias

C. Anchoring and adjustment bias

Question 38

A bond issued by the International Monetary Fund is best classified as a:

A. sovereign bond.

B. supranational bond.

C. quasi-government bond.

Question 39

A hedge fund with $225 million of initial capital charges a management fee of 1% and an incentive fee of 10%. The management fee is based on assets under management at year-end, and the incentive fee is calculated independently from the management fee. Assuming the fund earns a 15% return at year-end, total fees earned by the hedge fund during the year are closest to:

A. $5.63 million.

B. $5.70 million.

C. $5.96 million.

Question 40

Which of the following statements is most accurate?

A. The general partner theoretically has limited liability

B. Co-investment rights allow the limited partner to make additional direct investments in portfolio companies

C. The side letter is a legal document that outlines the rules of the partnership between the general partners and all limited partners

Question 41

Which of the following statements about covered bonds is most accurate?

A. Covered bonds expose investors to prepayment risk.

B. Covered bonds usually consist of one bond class per cover pool.

C. The cover pool is transferred to a bankruptcy-remote special legal entity.

Question 42

An analyst gathers the following information about a float-adjusted market-capitalization- weighted index composed of three stocks: Shares % of Shares in Market Stock Price Outstanding Float 1 8,500 100 $42 2 10,000 75 $69 3 4,000 100 $95 Stock 1’s weighting in the index is closest to:

A. 20.4%.

B. 25.0%.

C. 28.5%.

Question 43

A trader bought shares for $20 per share at an initial margin of 40%. If the maintenance margin is 20%, the price below which the first margin call occurs is:

A. $10.

B. $15.

C. $16.

Question 44

An analyst gathers the following information about zero rates: Years to Zero Rate Maturity 1 1.50% 2 2.00% 3 2.25% The 2-year implied forward rate in one year's time is closest to:

A. 2.50%.

B. 2.63%.

C. 2.75%.

Question 45

If a portfolio consists of two risky assets and the portfolio's standard deviation is equal to the weighted average of the assets' standard deviations, the assets' returns are:

A. perfectly negatively correlated.

B. uncorrelated.

C. perfectly positively correlated.

Question 46

Which of the following is most likely associated with secondary capital markets?

A. Book building

B. Continuous trading

C. Lead underwriters

Question 47

Which of the following sections of the IPS most likely explains how to respond to various contingencies?

A. Procedures

B. Investment guidelines

C. Evaluation and review

Question 48

If a test rejects the hypothesis that market prices reflect private information but does not reject the hypothesis that they reflect past market data and public information, then the form of market efficiency is best described as:

A. weak.

B. strong.

C. semi-strong.

Question 49

In order to take advantage of short-term capital market expectations, a fund manager holds less of her portfolio in equities than the policy weights prescribe. This action is best described as:

A. security selection.

B. portfolio rebalancing.

C. tactical asset allocation.

Question 50

An investor collects the following information about a put option:

Stock price at initiation	$110
Strike price	$105
Option premium	$4.50

At expiration, if the price of the stock is $100, the investor's profit from selling the put is:

A. –$0.50.

B. $4.50.

C. $9.50.

Question 51

A Eurodollar bond is:

A. denominated in USD.

B. sold to US investors at issuance.

C. underwritten by a syndicate of US-based banks.

Question 52

When markets are operating normally, the portfolio approach to investing most likely:

A. affects an investor's risk more than the investor's return.

B. provides the same level of risk reduction as during times of severe market turmoil.

C. increases an investor's expected return as compared to owning one individual stock.

Question 53

Which of the following components of an IPS most likely states a client's requirements for withdrawing funds from the portfolio?

A. Statement of Purpose

B. Investment Constraints

C. Statement of Duties and Responsibilities

Question 54

The FCFE model:

A. requires an estimate of future dividend payments.

B. can be used to value non-dividend paying stocks.

C. treats non-cash expense in the same manner as cash expense.

Question 55

A 5-year option-free bond is priced at a discount to par value. Assuming the discount rate and other key variables do not change, one year from now the value of the bond will most likely:

A. decrease.

B. be the same.

C. increase.

Question 56

Which of the following is categorized as a social infrastructure asset?

A. Airport

B. Correctional facility

C. Telecommunciation tower

Question 57

All else being equal, commodity forward prices will increase as a result of a decrease in the:

A. risk-free rate.

B. storage costs.

C. convenience yield.

Question 58

An analyst gathers the following credit measures for two companies and their industry: Credit Ratio Company 1 Company 2 Industry Operating profit margin 13.7% 12.1% 11.8% Debt/EBITDA 1.21x 2.89x 3.00x EBITDA/interest expense 15.6x 6.9x 6.9x Using these ratios, credit quality is strongest for:

A. Company 1.

B. Company 2.

C. the industry.

Question 59

The bond equivalent yield for a semiannual pay bond is most likely:

A. equal to the effective annual yield.

B. more than the effective annual yield.

C. equal to double the yield per semiannual period.

Question 60

Which of the following is least likely a feature of a credit card receivable asset-backed security (ABS)?

A. A lockout period

B. Amortizing collateral

C. An early amortization provision

Question 61

Prior to expiration, an at-the-money option most likely trades:

A. below intrinsic value.

B. at intrinsic value.

C. above intrinsic value.

Question 62

The weighted average of the time to receipt of a bond's promised future payments is best measured by:

A. effective duration.

B. modified duration.

C. Macaulay duration.

Question 63

Convenience yield is best described as the:

A. opportunity cost of the money invested.

B. nonmonetary advantage of holding the asset.

C. net of the costs and benefits of holding an asset.

Question 64

A stock currently priced at $75 has a dividend yield of 3%, based on the most recent dividend. If dividends are expected to grow by 8% annually, the stock's required rate of return is closest to:

A. 11.00%.

B. 11.24%.

C. 12.32%.

Question 65

Which of the following is most likely a means of executing a differentiation competitive strategy?

A. Trademarks

B. Economies of scope

C. Geographical proximity to its customers

Question 66

A limit order book (in € per share) has the following order prices:

Bids	Asks
-	48.20
-	48.00
47.85	-
47.70	-

A sell order is behind the market at a price of:

A. €47.70.

B. €48.00.

C. €48.20.

Question 67

A trader gathers the following information about shares purchased on margin:

Purchase price per share	$30.00
Sale price per share	$25.00
Dividend per share	$0.50

Purchase price per share	$30.00
Leverage ratio	2.50

If the shares were sold after one year, the total return is closest to:

A. –41.67%.

B. –37.50%.

C. –25.00%.

Question 68

Pooled investment vehicles that frequently trade at a significant discount to net asset value are most likely:

A. closed-end funds.

B. open-ended funds.

C. exchange-traded funds.

Question 69

Which of the following is a characteristic of a well-functioning financial system?

A. Bid–ask spreads are high

B. Prices reflect fundamental values

C. Prices vary primarily in response to demands for liquidity made by traders

Question 70

The acquisition of a public company with the intent to take it private using debt financing best describes:

A. angel investing.

B. venture capital investing.

C. leveraged buyout investing.

Question 71

A bond has a modified duration of 5 and a convexity statistic of 75. If the bond's yield to maturity decreases 50 bps, the expected percentage price change is closest to:

A. 2.41%.

B. 2.59%.

C. 2.69%.

Question 72

Which of the following institutional investors typically has the lowest tolerance for risk?

A. University endowment funds

B. Defined benefit pension plans

C. Property and casualty insurance companies

Question 73

A put option has a strike price of $20.50. The option premium is $1.00. If the price of the underlying at expiration is $21.50, the put option is:

A. in the money.

B. at the money.

C. out of the money.

Question 74

Momentum, defined as relative past stock returns, is most likely a factor in:

A. fundamental factor models.

B. the Carhart four-factor model.

C. the Fama–French three-factor model.

Question 75

Two risk managers are discussing how an organization's risk tolerance should be determined. The first manager says, "The risk tolerance must reflect the losses or shortfalls that will cause the organization to fail to meet critical objectives." The second manager responds, "The risk tolerance must reflect the external forces that bring uncertainty to the organization." Which of them is most likely correct?

A. Both risk managers

B. The first risk manager

C. The second risk manager

Question 76

All else being equal, a stock split results in:

A. a decrease in the number of shares and an increase in the share price.

B. an increase in the number of shares and a decrease in the share price.

C. an increase in the number of shares and an increase in the share price.

Question 77

Mass redemptions may force the sale of underlying real estate by managers of:

A. open-end funds only.

B. publicly traded REITs only.

C. both open-end funds and publicly traded REITs.

Question 78

With respect to behavioral finance, an explanation for the overreaction anomaly is:

A. risk aversion.

B. loss aversion.

C. sudden changes in economic fundamentals.

Question 79

An issuer credit rating most likely applies to the issuer's:

A. secured debt.

B. subordinated debt.

C. senior unsecured debt.

Question 80

Which of the following best describes the process of changing the distribution of risk outcomes by using derivatives?

A. Risk shifting

B. Risk transfer

C. Risk avoidance

Question 81

Asset-based valuation models are best used for companies that have:

A. a high proportion of intangibles.

B. significant property, plant and equipment.

C. a high proportion of current assets and current liabilities.

Question 82

According to put-call-forward parity, a long put and a short call is equal to:

A. a long bond and a short forward.

B. a short bond and a long forward.

C. a short bond and a short forward.

Question 83

Which of the following statements is most likely correct regarding the spot and forward curves. The spot curve:

A. can be calculated from the forward curve, and the forward curve can be calculated from the spot curve.

B. can be calculated from the forward curve, but the forward curve cannot be calculated from the spot curve.

C. cannot be calculated from the forward curve, but the forward curve can be calculated from the spot curve.

Question 84

Companies that are candidates for a leveraged buyout most likely:

A. require start-up capital.

B. generate a high level of cash flow.

C. are experiencing a rapid deterioration in operations.

Question 85

An analyst gathers the following information about a hedge fund:

Beginning-of-year assets under management (AUM)	$350 million
Management fee, based on year-end AUM before fees	2%
Incentive fee	20%
Hard hurdle rate	5%

Beginning-of-year assets under management (AUM)	$350 million
Annual return before fees	10%

If the incentive fee is based on returns net of management fees, the incentive fee (in $ millions) is:

A. 1.96.

B. 5.46.

C. 7.00.

Question 86

The risk-free rate is 5%, and the market risk premium is 8%. If the beta of TRL Corp. is 1.5, based on the capital asset pricing model (CAPM), the expected return of TRL's stock is closest to:

A. 9.5%.

B. 15.5%.

C. 17.0%.

Question 87

In capital market theory, the optimal portfolio for an investor who borrows at the risk-free rate to invest in the market portfolio is situated:

A. above the capital allocation line.

B. to the right of the market portfolio on the capital allocation line.

C. at the tangent of the capital allocation line and the Markowitz efficient frontier.

Question 88

All else being equal, as investors' minimum required rate of return on equity increases, a company's cost of equity most likely:

A. decreases and its stock price increases.

B. increases and its stock price decreases.

C. increases and its stock price increases.

Question 89

With respect to fintech applications, the instantaneous transfer of collateral in the event of default is an example of:

A. tokenization.

B. smart contracts.

C. high-frequency trading.

Question 90

Which of the following best describes the intrinsic value of a security? The intrinsic value of a security is:

A. the price at which the security can be bought or sold.

B. represented by the intersection of supply and demand for the security.

C. the value placed by investors based on a complete understanding of the security's investment characteristics.